

EGERTON



UNIVERSITY

UNIVERSITY EXAMINATIONS

NJORO CAMPUS

SECOND SEMESTER, 2021/2022 ACADEMIC YEAR

**FIRST YEAR RESIT/SPECIAL EXAMINATION FOR THE DEGREE OF BACHELOR OF
SCIENCE IN ECONOMICS AND STATISTICS AND BACHELOR OF ARTS**

ECON 121- PRINCIPLES OF MACROECONOMICS

STREAM: BSC. ECON/STAT & BA

TIME: 2 HRS

EXAMINATION SESSION: NOVEMBER

YEAR: 2021

INSTRUCTIONS

- i). Answer Question ONE and any other TWO questions.
- ii). Question ONE carries 30 Marks and the rest carry 20 Marks each.
- iii). Do not write on the question paper.
- iv). Apart from calculators, all other devices and written materials are not allowed in the examination room.
- v). All personal items MUST be left outside or in front of the examination room.

QUESTION ONE**(30 MARKS)**

- a) Explain the following approaches of calculating national income:
- i) Income approach **(2 Mark)**
 - ii) Expenditure approach. **(2 Mark)**
 - iii) Output approach. **(2 Mark)**
- b) Explain six uses of national income statistics. **(6 Marks)**
- c) Outline any four challenges encountered in the computation of national income. **(4 Marks)**
- d) Kenya's economy grew by 15% in 2010 and therefore the lives of Kenyans improved by 15% Discuss **(5 Marks)**
- d) Explain the determinants of consumption in Kenya. **(9 Marks)**

QUESTION TWO**(20 MARKS)**

Given the hypothetical macroeconomic mode of an economy below:

$$S = -50 + 0.2Y^d \quad (\text{saving function}) \text{ where } Y^d \text{ is disposable income}$$

$$I = 100 \quad (\text{investment expenditure})$$

$$G = 100 \quad (\text{Government expenditure})$$

$$X = 30 \quad (\text{Export expenditure})$$

$$T = 60 + 0.2Y \quad (\text{Tax Revenue function})$$

$$M = 20 + 0.5Y \quad (\text{Import function})$$

- a) Interpret the savings function. **(3 Marks)**
- b) Derive the consumption function. **(2 Marks)**
- c) Using a graph, show the relationship between consumption and savings functions. **(3 Marks)**
- d) Compute equilibrium levels of savings, income, consumption and tax and imports. **(5 Marks)**

- e) What are the position on balance of payment and government budget? (4 Marks)
- f) Calculate and interpret the government expenditure multiplier. (3 Marks)

QUESTION THREE (20 MARKS)

- a) Without using diagrams, define IE and LM curves (2 Marks)
- b) Using diagrams explain the derivation of the IS curves (6 Marks)
- c) Given an economy with the following information

$$C = 100 + 0.8Y^d \quad (\text{consumption function})$$

$$Y^d = Y - tY \quad (\text{Disposable income function})$$

$$t = 1/6 \quad (\text{Tax Rate})$$

$$I = 100 - 1000R \quad (\text{Investment function})$$

$$G = 100 \quad (\text{Government expenditure})$$

$$M_d = 2Y - 9000R \quad (\text{Money demand function})$$

$$M_s = 300 \quad (\text{Money supply})$$

Required:

- i). Derive IS and LM equations (4 Marks)
- ii). Determine equilibrium r and Y (4 Marks)
- iii). Explain the factors that cause shift in IS and LM curves (4 Marks)

QUESTION FOUR (20 MARKS)

- a) Explain the term inflation. (4 Marks)
- b) Explain five ways of measuring inflation (5 Marks)
- c) Explain five causes of inflation (5 Marks)
- d) Explain five effects of inflation (5 Marks)

- e) State and explain five ways of controlling inflation (5 Marks)

QUESTION FIVE (20 MARKS)

- a)
- i. Define the term monetary policy. (2 Marks)
 - ii. State and explain five objectives of monetary policy. (5 Marks)
 - iii. Describe five tools of monetary policy. (5 Marks)
- b)
- i. Discuss the term investment (2 Marks)
 - ii. Outline the factors that influence the level of investment in an economy (6 Marks)
